



Business Planning- Writing a Business Plan



Strathmore
UNIVERSITY

BUSINESS SCHOOL

Objectives

- At the end of class, you should be able to:
 - Explain the benefits of an effective business plan.
 - Describe the elements of a solid business plan.

The Business Plan

- A business plan is a planning tool that builds on the foundation of the idea assessment, feasibility analysis, and business model. A business plan is a written summary of an entrepreneur's proposed business venture, its operational and financial details, its marketing opportunities and strategy, and its managers' skills and abilities. There is no substitute for a well-prepared business plan, and there are no shortcuts to creating one
- The primary goals of the business plan are to guide entrepreneurs as they launch their businesses and to help them acquire the necessary financing to launch.
- Research suggests that, whatever their size, companies that engage in business planning outperform those that do not.

Benefits of Creating a Business plan

- A business plan offers:
 - a systematic, realistic evaluation of a venture's chances for success in the market.
 - a way to determine the principal risks facing the venture.
 - a “game plan” for managing the business successfully during its start-up.
 - a tool for comparing actual results against targeted performance.
 - an important tool for attracting capital in the challenging hunt for money
- A business plan serves two essential functions. **First**, it provides a battery of tools—a mission statement, goals, objectives, budgets, financial forecasts, target markets, and entry strategies—to help entrepreneurs subject their ideas to one last test of reality before launching the business. The business plan also helps the entrepreneur to lead the company successfully through its launch and early start-up phases.
- The **second** function of the business plan is to attract lenders and investors. A business plan must prove to potential lenders and investors that a venture will be able to repay loans and produce an attractive rate of return.

Critics to the development of a business plan

- Is writing a business plan a waste of time?
 - How much time does it take to write a business plan Anyway? (*based on conversation with early stage entrepreneurs it takes 4-8 weeks*)
 - This is time you are not creating your product or selling your product.
 - Picture it paints- Deceptive
 - Motivation for business plan development is usually to source for funding, so who will not paint a rosy picture?
 - You can't predict the future
 - Your plan will never account for everything.
 - You have to update your plan regularly for it to be valid.
 - The message or false comfort it gives the entrepreneur
 - Start a business is not like baking a cake

Business plan for Raising Financing

- To get external financing, an entrepreneur's business plan/pitch must pass four tests with potential lenders and investors: (1) the reality test, (2) the competitive test, (3) the value test, and (4) credibility test. The first two tests have both an external and internal component:
- **Reality Test**-The **external component** of the reality test involves proving that a market for the product or service really does exist. It focuses on industry attractiveness, market niches, potential customers, market size, degree of competition, and similar factors. Entrepreneurs who pass this part of the reality test prove in the marketing portion of their business plans that there is strong demand for their business idea. **The internal component** of the reality test focuses on the product or service itself. Can the company really build it for the cost estimates in the business plan? Is it truly different from what competitors are already selling? Does it offer customers something of value?

Business plan for Raising Financing

- **Competitive Test** The **external** part of the competitive test evaluates the company's relative position to its key competitors. How do the company's strengths and weaknesses match up with those of the competition? Do these reactions threaten the new company's success and survival? Do you have a sustainable competitive advantage? Do you have a compelling value proposition? A value proposition that is properly constructed answers the following questions:
 - Who is our target market?
 - What current options exist for this target market?
 - What do/will we offer the target market?
 - What is the key problem it solves?
 - Why is it better than other options the target market has to choose from?
- The **internal** competitive test focuses on management's ability to create a company that will gain an edge over existing rivals. To pass this part of the competitive test, a plan must prove the quality, skill, and experience of the venture's management team. What other resources does the company have that can give it a competitive edge in the market?

Business plan for Raising Financing

- **Value Test** To convince lenders and investors to put their money into the venture, a business plan must prove to them that it offers a high probability of repayment or an attractive rate of return.
- Entrepreneurs usually see their businesses as good investments because they consider the intangibles of owning a business, such as gaining control over their own destinies and freedom to do what they enjoy.
- Lenders and investors, however, look at a venture in terms of cash returns. A plan must convince lenders they will be repaid the money they lend to the business, and it must convince investors they will earn an attractive return on their money

Elements of a business plan

- This section explains the most common elements of a business plan
- *The elements of a business plan may be standard, but the way entrepreneurs tell their stories should be unique and reflect the specific strengths of their business model, the experience of their team, their personality and how it will shape the culture of the business, and their enthusiasm for the new venture.*
- **Title Page and Table of Contents**
- Executive Summary -It should be concise—a maximum of one page—and should summarize all of the relevant points of the proposed deal. After reading the executive summary, anyone should be able to understand the entire business concept, the attributes that differentiate the company from the competition, and the financing that is being requested.
- **Mission and Vision Statements**-A mission statement expresses an entrepreneur's vision for what his or her company is and what it is to become. It is the broadest expression of a company's purpose and defines the direction in which it will move. Not more than 50 words.

Elements of a business plan

- **Description of the firm's product/services**-An entrepreneur should describe the company's overall product line, giving an overview of how customers will use its goods or services. Provide both benefits and features of your offering(s).
- **Business and Industry Profile**-This section should provide readers with an overview of the industry or market segment in which the new venture will operate. Include findings of PFF and your strategy of winning.
- **Competitor Analysis**-An entrepreneur should describe the new venture's competition and the ways in which the chosen business strategy will position it effectively against key competitors. Failing to assess competitors realistically makes entrepreneurs appear to be poorly prepared, naive, or dishonest, especially to potential lenders and investors.
- **Market entry strategies**-an entrepreneur explains how he or she plans to enter the market and gain a competitive edge and how his or her value proposition sets the business apart from the competition. A key component of this section is defining what makes the company unique in the eyes of its customers.

Elements of a business plan

- **Marketing Strategy**-One of the most important tasks a business plan must fulfill is proving that a viable market exists for a company's goods or services. Proving that a profitable market exists involves two steps: showing customer interest and documenting market claims. Both of these steps should have been part of the business modeling process and should be part of the business plan.
 - Showing Customer Interest= currently sales and trends
 - Documenting Market claims =Evidence of claims regarding market size and growth rate.
 - Results of market surveys, customer questionnaires, and demographic studies developed in the feasibility analyses and business modeling steps in the business planning process lend credibility to an entrepreneur's frequently optimistic sales projections contained within the formal business plan.

Elements of a business plan

- **Plan of operation**-describes how the business operates, including space requirements, inventory management if applicable, staffing plans, and accounting processes and policies.
 - This section also includes a description of the form of ownership (e.g., sole proprietorship, partnership, joint venture, LLC) and of any leases, contracts, and other relevant agreements pertaining to the operation is helpful.
- **Projected Financial Statements**
- It is essential that financial forecasts be realistic. Experienced lenders and investors can detect unrealistic forecasts easily. In fact, some venture capitalists automatically discount an entrepreneur's financial projections by as much as 50 percent. After completing these forecasts, an entrepreneur should perform a break-even analysis for the business.
- It is important to include a statement of the assumptions on which these financial projections are based. Potential lenders and investors want to know how an entrepreneur derived forecasts. Spelling out realistic assumptions gives a plan more credibility.

Elements of a business plan

- **The Ask (Loan of Investment proposal)**
- The loan or investment proposal section of the business plan should state the purpose of the financing, the amount requested, and the plans for repayment or, in the case of investors, an attractive exit strategy. When describing the purpose of the loan or investment, an entrepreneur must specify the planned use of the funds.
- **Appendix**
 - Reference list
 - Images of products
 - Sample contracts
 - etc

The Business Plan

- Make sure the plan is free of spelling and grammatical errors and typos. It is a professional document and should look like one.
- Make it visually appealing. Use color charts, figures, and diagrams to illustrate key points..
- Include a table of contents with page numbers to allow readers to navigate the plan easily. Reviewers should be able to look through a plan and quickly locate the sections they want to see.
- Make it interesting. Boring plans seldom get read; a good plan tells an interesting story.
- Keep it respectfully concise.